

4.3 LIMITED COMPANIES

Multiple Choice Questions

1990/CE/II/07

Which characteristic listed below applies to all limited companies?

- A. The company can own assets in its name.
- B. All shares are quoted on the Stock Exchange.
- C. Shareholders are free to sell their shares to anyone they choose.
- D. (out of syllabus)

1991/CE/II/16

Which of the following is regarded as an advantage for a private limited company to go public?

- A. Shareholders enjoy limited liability.
- B. There is separation of ownership and management.
- C. There is wider scope for raising capital.
- D. Shares become transferable.

1993/CE/II/10

The Bank of Credit and Commerce Hong Kong Limited (BCC HK) was a private limited company. When it was closed in 1991,

- A. the shareholders could avoid losses by selling their shares on the stock market.
- B. the government took over the bank under the Banking Ordinance.
- C. the depositors had the right to claim their money after the shareholders.
- D. the losses of the shareholders were limited to their investment in the bank.

1993/CE/II/13

One of the advantages of a private limited company 'going public' is:

- A. limited liability
- B. more access to funds
- C. being subject to a lower profits tax rate
- D. being less likely to be taken over by another company

1994/CE/II/24

A limited company is a legal entity. This implies that

- A. the company must obey the law
- B. the company may sue other persons in its own name.
- C. management and ownership of the company are separated
- D. its shares can be quoted on the stock exchange.

1994/CE/II/25

A public limited company differs from a private limited company in that, for example,

- A. there is no legal maximum limit on the number of shareholders.
- B. Its shareholders enjoy limited liability
- C. (out of syllabus)
- D. It is subject to a higher profits tax rate.

1995/CE/II/24

It is possible for a shareholder to sue his company because

- A. a company enjoys limited liability.
- B. a company is a legal entity.
- C. a company is managed by a board of directors.
- D. of the separation of management and ownership.

1995/CE/II/25

A public limited company has more advantages in raising capital over a private limited company because the former.

- A. is owned by the government but the latter is not.
- B. has more directors.
- C. can issue shares to the general public but the latter can't.
- D. has a larger scale of production.

1996/CE/II/57

Which of the following about the stocks and shares issued by the public limited companies in Hong Kong is **INCORRECT**?

- A. All of them are traded in the Stock Exchange of Hong Kong.
- B. They facilitate the raising of capital of firms.
- C. They provide opportunities for small investors to invest.
- D. Their prices reflect the earning power of the companies.

1997/CE/II/16

If a listed company is converted into a private limited company,

- A. it can avoid being controlled by the government.
- B. its firm size will be reduced.
- C. it can reduce the risk of being taken over.
- D. it loses the status of legal entity.

1999/CE/II/22

Which of the following is an advantage of a public limited company over a private limited company?

- A. a wider source of capital
- B. larger economies of scale
- C. a better specialization in management
- D. large number of shareholders.

2000/CE/II/21

Which of the following are advantage of turning a private limited company into a listed company in the stock market?

- (1) The company gains the status of a legal entity.
 - (2) The company enjoys economies of scale.
 - (3) The company enjoys a wider source of capital.
 - (4) Ownership of the company can be transferred freely in the market.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

2001/CE/II/18

	Firm A	Firm B
Legal Status	Legal Entity	Legal Entity
Liability	Limited	Limited
Transfer of ownership	Does not need the consent of other owner(s)	Needs the consent of other owner(s)

Refer to the above table. Which of the following is correct?

- A. Firm A has more capital than Firm B.
- B. Firm A has a greater risk of being taken over by another firm than Firm B.
- C. Firm A is listed company but Firm B is not.
- D. Both firms have to disclose their financial statements to the public.

2002/CE/II/21

If a private limited company in Hong Kong is turned into a public limited company,

- A. the company will pay the profits tax at a higher rate.
- B. the company will gain the status of a legal entity.
- C. the company will have a wider source of capital.
- D. the original owners must increase their investments in the company.

2003/CE/II/19

Mr Chan is one of the owners of a firm which is a legal entity. Moreover, the transfer of Mr Chan's ownership in the firm needs the consent of other owners. The firm is a

- A. general partnership.
- B. limited partnership.
- C. private limited company.
- D. public limited company.

2005/CE/II/20

If a listed public limited company is turned into a private limited company in Hong Kong,

- A. the company will be at a lower risk of being taken over.
- B. the company will pay the profits tax at a lower rate.
- C. the company will lose its legal entity.
- D. the shareholders will bear unlimited liability.

2006/CE/II/20

Angel, Bonnie and Catherine jointly own a firm. The firm is a legal entity. Which of the following statements about the firm must be correct?

- A. The firm can issue shares to raise capital.
- B. At least one of the owners has to bear unlimited liability.
- C. The firm will be dissolved on the death of any one owner.
- D. The accounts of the firm have to be disclosed to the public.

2007/CE/II/22

Which of the following about a public limited company is correct?

- A. The company can be a shareholder of a listed company.
- B. The shares issued by the company are traded on a stock exchange.
- C. The maximum number of shareholders is 50.
- D. It earns greater returns than a private limited company.

2008/CE/II/20

In 2006, the Bank of Communications (交通銀行) quoted its shares on the Hong Kong Stock Exchange. A result of this was that

- A. the Bank became a legal entity in Hong Kong.
- B. the Bank can raise capital more easily in Hong Kong.
- C. owners of the Bank enjoy limited liability.
- D. ownership and management of the Bank can be separated.

2009/CE/II/23

After the 2008 stock market crash, some listed companies in Hong Kong proposed privatizing their companies. If a listed company is privatized and turns into a private limited company,

- A. the company is not a legal entity any more.
- B. the firm's size will be reduced.
- C. the company can enjoy a lower profits tax rate.
- D. the risks of being taken over will be reduced.

2010/CE/II/22

Which one of the following statements about a private limited company is correct?

- A. The shares issued by the company are traded on the stock market.
- B. The transfer of ownership needs the consent of other shareholders.
- C. It has to disclose its financial information to the public.
- D. It is subject to a lower profits tax rate than a public limited company.

2012/DSE/II/09

If a partnership is turned into a private limited company,

- (1) the company will become an independent legal entity.
 - (2) the company will be at a higher risk of being taken over.
 - (3) the company will pay a higher profits tax rate.
 - (4) the number of owners will increase.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

2015/DSE/II/07

A firm has an independent legal entity but the owners cannot transfer their ownership without the consent of the other owners. When the owners want to expand the firm's business, they can _____.

- (1) use the retained profit of the firm
 - (2) issue shares to the public to raise capital
 - (3) borrow from friends to raise capital
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1990/CE/II/14

Who will receive the repayment first when a company liquidates?

- A. ordinary shareholders
- B. (out of syllabus)
- C. directors
- D. debenture-holders

1992/CE/II/18

On the liquidation of a public limited company, which of the following parties will get their money back before the others?

- A. the shareholders
- B. the debenture-holders
- C. the government
- D. the employees of the company

1993/CE/II/03

Mr. Chan has purchased some shares in a public limited company. Which of the following statements is correct?

- A. He cannot participate in the management of the firm.
- B. He will automatically receive a dividend from the company every year.
- C. His personal accounts have to be disclosed to the public.
- D. His ownership in the company is freely transferable.

1993/CE/II/07

From the viewpoint of a public limited company, which of the following is an advantage of issuing debentures over issuing shares to raise capital?

- A. The company can raise more capital.
- B. The existing shareholders have a better control of ownership of the company.
- C. The company can pay less to debenture holders than to shareholders when its profit is small.
- D. It is easier to obtain more bank loans if the company issues more debentures rather than more shares.

1993/CE/II/19

What is the economic role of shareholders in a public limited company?

- A. preparing the company's accounts
- B. making production decisions
- C. bearing risk
- D. sharing profits

1996/CE/II/20

When a public limited company liquidates, which of the following will be the last one to have the right to claim repayment from the company?

- A. ordinary shareholders
- B. (out of syllabus)
- C. debenture holders
- D. employees

1996/CE/II/21

The shareholders of a public limited company is different from the debenture holders of the company in that

- A. the return of shareholders is lower.
- B. the return of shareholders is more stable.
- C. shareholders have a prior claim on the income of the company .
- D. shareholders are owners of the company while debenture holders are not.

1997/CE/II/18

Which of the following sources of finance would most probably reduce the controlling power of the existing shareholders of a public limited company?

- A. a new issue of ordinary shares to the public
- B. (out of syllabus)
- C. a new issue of debentures to the public
- D. a short term loan borrowed from a bank

1998/CE/II/18

Being a small investor, Peter prefers to be a shareholder of a public limited company rather than of a private limited company. This is because

- A. he can enjoy limited liability.
- B. the transfer of ownership is easier.
- C. shareholders have the right to sue the company
- D. there is no legal maximum limit on the number of shareholders of a public limited company.

2002/CE/II/17

Which of the following statements about limited companies in Hong Kong is correct?

- A. Shareholders and debenture holders have to bear unlimited liability.
- B. Issuing more debentures will increase the risk of being taken over.
- C. Shares and debentures of public limited companies are traded on the stock exchange.
- D. Debenture holders can claim the company's assets prior to shareholders when the company goes bankrupt.

2002/CE/II/18

As a small investor, Calvin prefers to purchase the shares of a listed company rather than those of a private limited company in Hong Kong because

- A. the accounts of a listed company have to be audited by certified accountants.
- B. there is a separation between ownership and management in a listed company.
- C. the shares of a listed company are freely transferable on the stock market.
- D. the liability of the shareholders of a listed company is limited to their investment in the company.

2003/CE/II/22

From the viewpoint of investors, which of the following is an advantage of buying debentures over the purchase of shares?

- A. The return of debentures is higher.
- B. Debentures can be sold on the stock exchange while shares cannot.
- C. The market price of debentures is fixed.
- D. Debenture holders have a prior right to get their money back from the company if it liquidates.

2004/CE/II/23

The debentures issued by a listed company _____ be traded on the securities market. The company has to pay the interest to debenture holders _____ the dividends to shareholders.

- A. can before
- B. can after
- C. cannot before
- D. cannot after

2005/CE/II/21

Which of the following descriptions about the shareholders and bondholders of a company is correct?

- A. Ordinary shareholders have a higher return than the bondholders.
- B. (out of syllabus)
- C. Ordinary shareholders are the creditors of the company.
- D. When the company winds up, the bondholders have a right to get the money back from the company in advance of its shareholders.

2006/CE/II/22

From the viewpoint of the company, which of the following is an advantage of issuing ordinary shares over bonds to raise capital?

- A. The company can raise more capital.
- B. The company has the obligation to redeem the bonds but not the ordinary shares.
- C. The ordinary shares can be freely transferable on the stock market.
- D. The liability of the shareholders is confined to the amount they have invested in the company.

2007/CE/II/21

From the viewpoint of the existing shareholders of a listed company, which of the following is an advantage of issuing bonds over ordinary shares to raise funds for future development?

- A. Their power of control over the company will not be diluted.
- B. The interest paid to the debenture holders is lower than the dividend.
- C. The company need not pay interest to the debenture holders when it incurs a loss.
- D. The debenture holders have no right to sue the company, whereas the shareholders do have the right.

2008/CE/II/21

Which of the following methods of raising capital will dilute the controlling power of existing shareholders in a listed company

- A. borrowing from a deposit-taking company
- B. issuing debentures
- C. (out of syllabus)
- D. issuing ordinary shares

2009/CE/II/20

When a public limited company is liquidated, among the ordinary shareholders, preference shareholders, debenture holders, and employees of the company, _____ the have the first priority to claim back _____.

- A. ordinary shareholders the money they invested in the company
- B. (out of syllabus)
- C. debenture holders the money they loaned to the company
- D. employees their salaries in arrears

2009/CE/II/22

From the viewpoint of investors, which of the following is an advantage of buying ordinary shares over debentures?

- A. The return of ordinary shares is higher than that of debentures.
- B. The market price of ordinary shares may increase while that of debentures is fixed.
- C. Ordinary shareholders invest in the company at a lower risk than debenture holders.
- D. Ordinary shareholders have voting rights in annual general meetings while debenture holders do not.

2010/CE/II/23

Which one of the following statements about the ordinary shareholders of a limited company is correct?

- A. They are the creditors of the company.
- B. They have voting rights in the Board of Directors' meetings.
- C. They receive dividends at a rate that is not fixed.
- D. They receive dividends at a higher rate than the preference shareholders.

2014/DSE/I/07

A public limited company plans to issue new bonds for expansion. For the existing shareholders, which of the following is an advantage of issuing bonds instead of shares?

- A. The accounts of the company need not be disclosed to the public.
- B. They have priority in getting back their capital if the company liquidates.
- C. The interest paid to the bondholders is lower than the dividend paid to the shareholders.
- D. Their power of control over the company will not be diluted.

2017/DSE/I/06

The government launched the Silver Bond for Hong Kong residents aged 65 or above. Bondholders will be paid interest at a rate linked to inflation in Hong Kong, subject to a minimum rate of 2% per year. Bondholders may sell their bonds at original price to the government before maturity.

Which of the following statements about the Silver Bond is/are correct?

- (1) The risk of holding the Silver Bond is lower than that of the shares of a listed company.
 - (2) The return of the Silver Bond would increase during inflation while the return of the shares of a listed company would not.
 - (3) The interest received by Silver Bond holders is higher than the dividend received by the shareholders of a listed company.
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1), (2) and (3)

2019/DSE/I/07

New World China Land Limited (Stock Code: 0917) announced privatisation of the company and cancelled its listing status at the Hong Kong Stock Exchange.

Which of the following are the possible advantages of the above change?

- (1) The company can choose not to disclose its financial accounts to the public.
 - (2) The company can reduce the risk of being taken over.
 - (3) The company can enjoy a lower profits tax rate.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2020/DSE/I/4

Some small investors prefer debentures to shares. Which of the following is a possible reason for that?

- A. The return of debentures is generally higher than that of shares.
- B. The price of shares may rise while that of debentures is fixed.
- C. Shareholders need to spend time managing the company but debenture holders do not.
- D. Companies have obligation to redeem debentures but they have no such obligation for shares.

2025/DSE/I/32

Miss Ho uses HK\$500 000 cash to buy from Mr Lai a negotiable certificate of deposit issued by a deposit-taking company. Mr Lai then deposits HK\$200 000 cash to his Hong Kong dollar savings account and remits the remaining amount to his parents in Australia.

What will be the immediate effect of the above actions on the Hong Kong dollar money supply?

- A. M1 will increase while M3 will remain unchanged.
- B. M1 will remain unchanged while M3 will decrease.
- C. Both M1 and M3 will decrease.
- D. Both M1 and M3 will remain unchanged.

Short & Structured Questions

1992/CE/I/3(c)(ii)

HSBC is a public limited company. Give **THREE** features of this type of business organization as distinct from a private limited company. (6 marks)

1996/CE/I/3(a)

Share prices of Vitasoy International Holdings Limited (維他奶國際集團有限公司) fell because some of its products were found to be contaminated and were destroyed.

Name the type of ownership of this firm. Explain **TWO** advantages of this type of ownership. (5 marks)

2001/CE/I/11(c)

Explain **TWO** advantages of a public limited company over a private limited company. (4 marks)

2002/CE/I/4

What is meant by limited liability? (2 marks)

2004/CE/I/4

State **THREE** features of a public limited company that distinguish it from a private limited company in Hong Kong. (3 marks)

2005/CE/I/3(a)

The following Hong Kong stock market information is extracted from a newspaper on a certain day.

Code	Telecommunication Company	Closing price of shares (\$)
0331	China Resources Peoples	0.290
0315	Smartone	8.700
0008	PCCW	4.925

Name the type of ownership of the above telecommunication companies. Give **TWO** advantages and **TWO** disadvantages to the owners of this type of ownership over sole proprietorship. (5 marks)

2009/CE/I/2

In 2007, the HKSAR Government bought a quantity of the shares in the Hong Kong Exchanges and Clearing Limited (HKEX) on the stock exchange. To what type of business ownership does the HKEX belong? List **TWO** features of this type of business ownership. (3 marks)

2012/DSE/II/12(b)

Chinachem Group is one of the property developers in Hong Kong. Unlike other major developers, Chinachem Group does not list its shares on the stock market. State **TWO** advantages and **TWO** disadvantages of being a private limited company instead of a listed company. (4 marks)

2014/DSE/II/10

Goodbaby International (Hong Kong stock code: 1086) is the largest manufacturer and supplier of infants' and children's products in China.

- (c) To what type of business ownership does Goodbaby International belong? (1 mark)
- (d) Explain the differences between partnership and the type of ownership in (c) in terms of
- (i) transfer of ownership.
 - (ii) legal status. (4 marks)
- (e) Source 2 below is an extract from a newspaper article.

Addressing the potential threat brought about by the trends of the birth rate and old dependency ratio in China, government officials are considering relaxing the one-child policy in an effort to boost the birth rate.

#The policy restricts urban couples to only one child, while allowing additional children in several cases, including twins, rural couples, ethnic minorities, and couples who are both the only child in their respective families.

WITHOUT using a diagram, explain why the stock price of Goodbaby International increased after the information in Source 2 was published in newspapers. (4 marks)

2015/DSE/II/11(a)

McDonald's is a private limited company in Hong Kong. State **ONE** advantage and **ONE** disadvantage of forming a private limited company over forming a public limited company. (2 marks)

2016/DSE/II/2(a)

Sure-Star Education Group is a tutorial centre for secondary school students. The Group can issue shares and bonds to the general public to raise capital.

Name the type of business ownership of the Group. (1 mark)

2017/DSE/II/10(a)

MTR Corporation Limited (stock code: 66) provides railway services in Hong Kong.

MTR is a listed company. State **TWO** differences between such an ownership and a private limited company. (2 marks)

1994/CE/I/4

Compare the return of an ordinary shareholder of a bank with that of a time deposit holder. (6 marks)

1999/CE/I/4

In order to raise capital for expansion, a limited company is considering whether to issue new shares or debentures. From the viewpoint of the company, give **ONE** advantage and **ONE** disadvantage of issuing shares over debentures. (4 marks)

2001/CE/I/10(c)(ii)

State **TWO** advantages to Bank A of issuing shares over debentures for raising capital. (2 marks)

2012/DSE/II/10(a)(ii)

Mr. Chan considers investing the \$6000 either in shares or bonds issued by a listed company. Explain with **TWO** reasons why bonds could be a better choice than shares for Mr. Chan. (4 marks)

Short & Structured Questions

2025/DSE/II/2(b) (Related to this topic)

In Hong Kong, there are many yoga studios providing yoga classes.

- (a) Give **TWO** reasons to explain why the market of yoga classes in Hong Kong is **NOT** perfectly competitive. (4 marks)
- (b) Miss Chan and her friends jointly operate a yoga studio in the form of a private limited company in Hong Kong.
 - (i) Define 'limited liability'. (2 marks)
 - (ii) Give **TWO** possible reasons why they chose to set up a private limited company instead of a public limited company. (2 marks)